Economics 3200 Economics of Globalization
Professor James Harrigan
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Homework assignment 6
due 3:30pm Thursday October 15

You may use an LLM of your choice (ChatGPT, Claude, Gemini, etc) as well as your own non-artificial intelligence to make any figures. However, please do NOT use an LLM to create the text for your answer.

1. Figure 5-2 from FT shows the effect of immigration in the specific factors model. In Figure 5-2, immigration is considered an increase in L. Suppose instead that immigrants are highly skilled workers who find employment entirely in the M sector.
   (a) Draw a diagram that illustrates immigration of highly skilled workers who find employment entirely in the M sector.
   (b) Describe the resulting effects on the wage of L and the returns to the two specific factors. How do these effects differ from the case considered by FT?
2. On slides 20-22 of Lecture 12, we studied a figure drawn from page 167 of this weeks required reading, "The Economic and Fiscal Consequences of Immigration" which was published in 2017 by the National Academy of Sciences (NAS). This paper is available on *Canvas* under Files\Readings.
   (a) Give a careful definition of all the lettered elements A through H of this diagram. You may want to read the discussion of Figure 4-2 to help you answer this question.
   (b) Figure 4-1 as drawn makes what assumption about the long-run return to capital?
   (c) Explain the reasoning behind the final paragraph of Section 4.2 of the NAS report on page 175.